AIRBAG

LP COVER THAT DEPLOYS ITSELF.

Insurance for Uniswap v4 liquidity providers that pays out by itself · live on Arbitrum Sepolia

THE PROBLEM

LIQUIDITY PROVIDERS EARN FEES, THEN LOSE MORE THAN THEY EARNED.

01 · LPS LOSE

49.5%

of Uniswap v3 liquidity providers did worse than if they had just held the two tokens.

Source: Loesch et al., Bancor & Topaze Blue, 2021

02 · LOSS BEATS FEES

$260M

lost to price moves (impermanent loss), against $199M earned in fees, in the pools studied.

Same study · May–Sep 2021

03 · NO COVER

<2%

of the value held in DeFi is insured, and the cover that exists pays after a claim and a vote.

Source: bex.co, May 2026

THE IDEA IN ONE SENTENCE

AN AIRBAG DOES NOT ASK YOU TO FILE A CLAIM.

The trigger is a number.

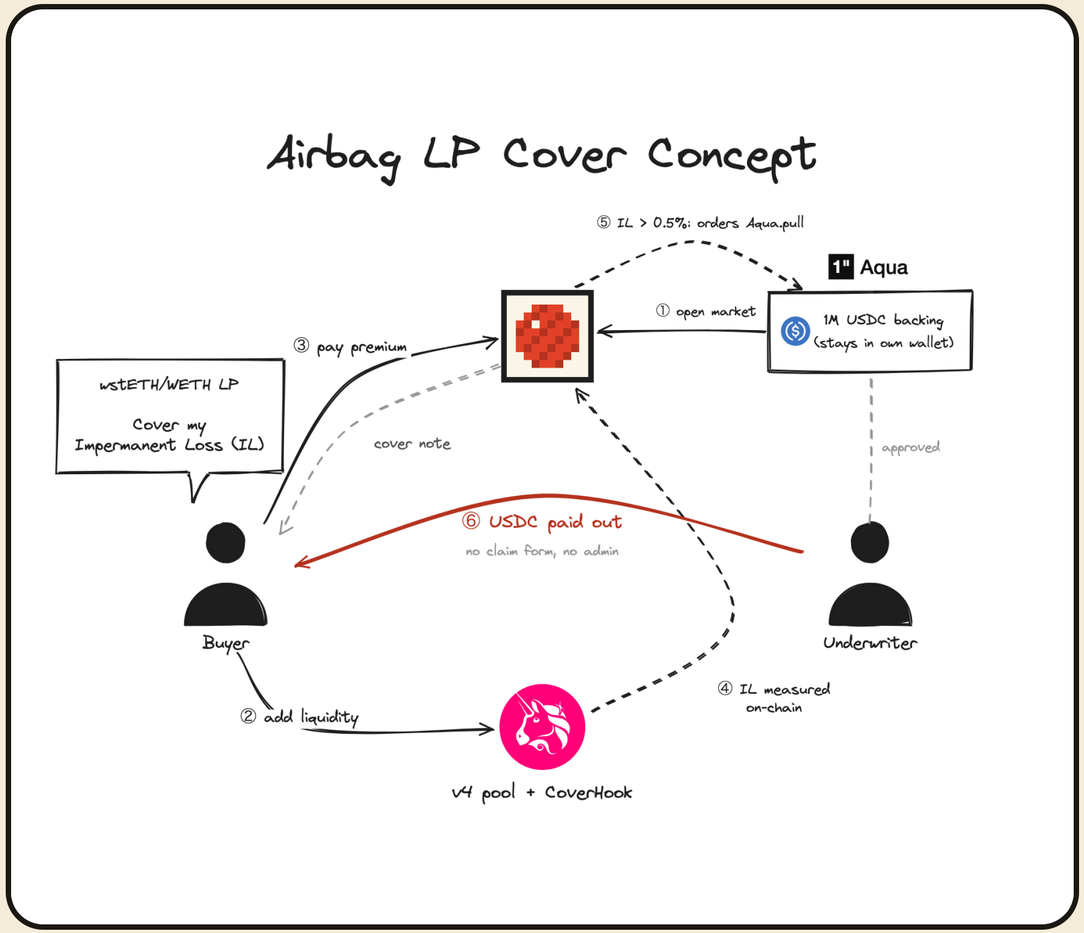
The pool itself measures your loss. Past 0.5%, the cover pays. No committee decides.

The payout comes by itself.

A bot anyone can run sends the money to your wallet. You do not have to be online.

HOW IT WORKS

SIX STEPS. THE BUYER DOES TWO.



1. **The underwriter opens a market.** 1M USDC stays in their own wallet; 1inch Aqua only records it.
2. **The buyer adds liquidity** to a Uniswap v4 pool that has our hook.
3. **The buyer pays a premium** and gets a cover note.
4. **The hook measures the loss** on-chain, from the pool's own prices.
5. **Past 0.5%, Airbag orders the payout** through Aqua.
6. **USDC goes from the underwriter to the buyer.** No claim form.

Airbag gives the order · the money never sits in our contract

ONE EXAMPLE

ALICE PROVIDES $100K OF WSTETH/WETH LIQUIDITY

1

She buys cover

$4,500

= $100k × (5% – 0.5%). That covers every loss from 0.5% up to 5%.

2

She pays a small premium

≈ $7

for 30 days, on the market's price curve. The price rises as more cover is sold.

3

The prices split

–3.18%

wstETH falls 40% against WETH. She is $3,175 worse off than holding.

4

She is paid

+$2,675

Everything above the first 0.5%. If the loss deepens, the difference is paid later.

Payout = (loss - 0.5%) ÷ (5% - 0.5%) × cover · the live LP market's settings

WHO PAYS THE CLAIM

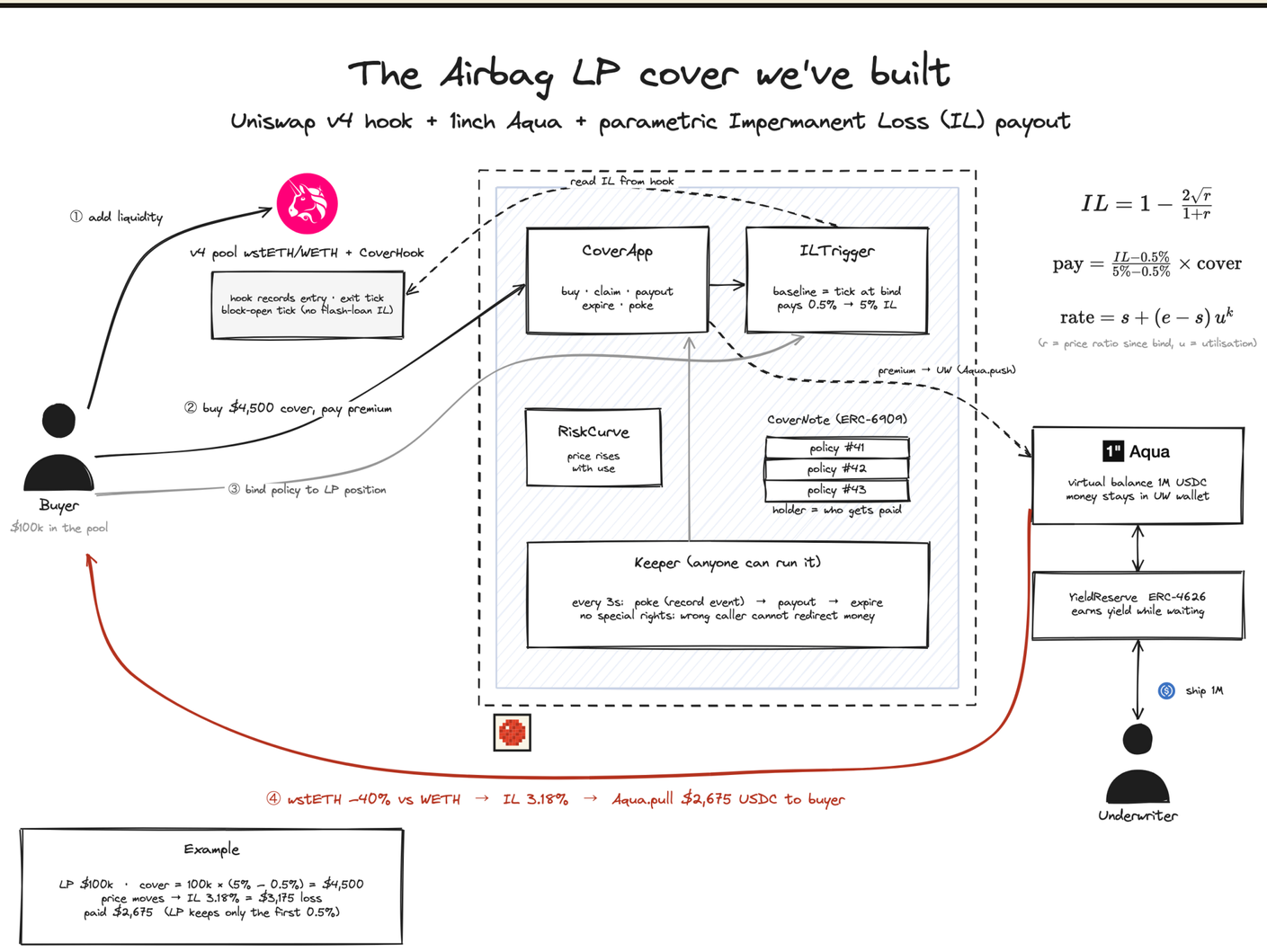
UNDERWRITERS BACK THE COVER AND COMPETE ON PRICE

1INCH AQUA	**The money stays in their wallet**	Underwriters approve a reserve through 1inch Aqua. It is not pooled in our contract, so there is no single pot to hack.
RISK CURVE	**Each one sets a price**	The more cover an underwriter has sold, the higher their price. A router sends every order to the cheapest curves.
TWO INCOMES	**They earn twice**	Premiums from every policy, plus savings yield on the same reserve. It is only withdrawn when a payout fires.

A market cannot sell more cover than its reserve allows · checked on-chain on every purchase

UNDER THE HOOD

THE CONTRACTS BEHIND ONE PAYOUT



ONE ENGINE · THREE PRODUCTS

THREE KINDS OF LOSS, ONE ENGINE

UNISWAP V4

Liquidity provider loss

A Uniswap v4 hook measures the loss of a pool position on-chain and the cover pays a share of it.

LP LOSS

STABLECOIN

Stablecoin depeg

Pays the full cover when the coin trades at or below $0.97.

≤ $0.97

TOKENIZED STOCK

Stock gap-down

Pays in proportion when a tokenized stock falls below its strike. A 20% gap pays 20% of the cover.

< $250

New products plug in as a new trigger contract · the reserve, pricing and payout stay the same

HOW TO USE IT

PICK, PAY, DO NOTHING

1

Pick your cover

Choose the product, the amount and how many days.

2

Pay the premium

One transaction. You receive a cover note that you can keep, send or sell.

3

Do nothing

If the trigger fires, whoever holds the note is paid automatically.

+

Apps add a widget

A wallet or DEX front end embeds a “Protect this position” button and sells cover to its own users.

WHAT IS NEW

WHERE THE INNOVATION IS

WHAT	WHY IT MATTERS	BUILT WITH
Loss measured on-chain	The pool itself reports a liquidity provider's loss, and a flash loan cannot fake it	`Uniswap v4 hook`
Payout with no claim	A number decides, and anyone can fire the payout to the holder	`Trigger + keeper`
Reserve that is not pooled	The underwriter's money stays in their own wallet until a payout	`1inch Aqua`
A market for risk	Underwriters publish price curves and each order goes to the cheapest	`Router + risk curves`
Cover you can hand over	The note is a token, and whoever holds it is paid	`ERC-6909 note`

Aqua is 1inch's unmodified contract · we deployed it because 1inch is not on Arbitrum Sepolia yet

PROOF IT WORKS

IT RUNS TODAY ON ARBITRUM SEPOLIA

13

contracts deployed and source-verified

62

automated tests passing, including a random-buy solvency test

3

cover products live in one app

30S

from a 33% wstETH crash to the LP payout, in our run on the live contracts, 15 Oct

HONEST LIMITS

Testnet only and not audited. The price feeds are demo feeds that we move by hand; Chainlink and Pyth adapters are built but not live. Reserves are not locked, and one wallet can back several markets with the same money.



AIRBAG

PRICES MOVE.
NOBODY FILES A CLAIM.
THE AIRBAG DEPLOYS.

airbag.insure · live demo next